Managing the monetary system

By raising or lowering its reserve rate of interest, a central bank can influence the size of commercial banks' reserves, and thus their borrowing and lending rates and the amount of money in circulation. This affects spending, and inflation, because when interest rates are lower, saving is less and borrowing more attractive, and when interest rates are higher, the opposite is true.

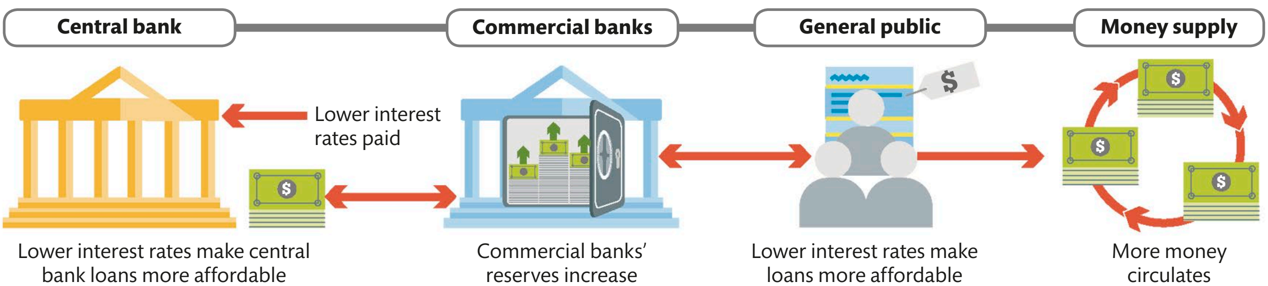
NEED TO KNOW

- **Secondary market** The forum in which investors buy and sell bonds issued by the government.
- **Inflation** A general increase in prices and fall in the purchasing value of money.
- **The spread** The difference between the cheapest and the most expensive interest rate.
- **Credit guidance** A form of cheaper lending by the central bank that is designed to meet wider government objectives such as boosting key industries.
- **Reserve ratio** The percentage of depositors' balances that a bank must keep as cash. The reserve ratio is set by the central bank.

Increasing money in circulation

Lowering the reserve (base) rate of interest

The central bank can cut the reserve rate of interest to make it cheaper for commercial banks to borrow from its reserves. The idea is that the commercial banks will then in turn reduce their interest rates to the public.



Open market operations: buying bonds

The central bank buys bonds on the open market using newly created reserves. Investors' deposits from the sale increase the amount of reserve money in the open market, which leads to a lowering of the short-term rate.